SCHEDULE OBMC

OPTIONAL BINDING MANDATORY CURTAILMENT PLAN

SPECIAL CONDITIONS (Continued)

6. Customer Specific Baseline: (Continued)

b. (Continued)

iv. Periods when the customer was subject to a CPP, CBP or other Demand Response event. N

v. Participants may also choose to have their baselines calculated using a Day-Of Adjustment. The Day-Of Adjustment is calculated using the first three of the four hours prior to the event divided by the average load for the same hours using the last 10 weekdays for OBMC participants. This Day-Of Adjustment shall not exceed plus or minus 20% of the Participant's calculated baseline. Participants must elect or opt-in to receive this adjustment at the initial contract execution time or at the annual contract renewal period. N

vi. Customer requests for the above exclusions must be received by SDG&E in written or e-mail format within the specified time frames or the requested exclusion will not be allowed. Customers requesting an operation ramp-up period under option (i) above must also specify a commensurate operation ramp-down period occurring within one year of the ramp-up period. T

vii. The Customer Specific Baseline following the ramp-down period must be reduced by a minimum of 25% from the baseline immediately prior to the ramp-down period. T

viii. Customers failing to achieve a 25% reduction in the baseline following a ramp-down period will not be allowed future operation ramp-up periods for two years following the ramp-up period. T

7. Incentive/Energy Payments:

a. Exclusion from Rotating Outages. An OBMC Plan is applicable to only electrical emergencies requiring a RO as a part of SDG&E's load curtailment block progression plan and is not a guarantee against a customer being subject to a RO due to other emergencies. The customer may not receive advance notice from SDG&E of such a RO.

8. Actual Demand Reduction: Actual Demand Reduction is measured by comparing the MLL for a specific event to demand reduction on the circuit.

9. Event Notification/Communication:

a. Form of Notification. Customers will be notified of an OBMC Event by notice on SDG&E's website, e-mail message, or text message sent via the Internet to customer's alphanumeric pager or cell phone. Customer shall be responsible for the cost and maintenance to receive such communications. The Utility does not guarantee the reliability of the Internet site, pager system or e-mail system used for such communications.

b. Response Time. Required load reductions must be achieved as quickly as possible but no later than 15 minutes after the primary customer receives notification from SDG&E. OBMC customers who fail to curtail to or below the required MLL of their circuit within the specific amount of time or who fail to maintain the MLL for the entire duration of the OBMC operation shall be subject to the non-compliance penalties specified in Special Condition 17. L

(Continued)

SCHEDULE OBMC

OPTIONAL BINDING MANDATORY CURTAILMENT PLAN

SPECIAL CONDITIONS (Continued)

10. Event Cancellation: Once an OBMC event has been initiated, the subsequent event will not be canceled, however, the event can be terminated based on the CAISO or the Utility situation. L I I L

11. Contract Requirement/Request for Service: Each customer is required to sign an OBMC Contract (Form 142-05205) and submit an OBMC Load Reduction Plan.

a. The OBMC Plan may be an alternative to a RO for certain eligible customers. Under an OBMC Plan, SDG&E may authorize a customer to reduce their demand to an agreed upon level in lieu of being included in SDG&E's RO block progression. An eligible customer should submit its OBMC Plan to SDG&E for review and acceptance. If the plan is approved by SDG&E, SDG&E will send such approval to the customer in writing. The written approval letter will specify the effective start date of the plan.

b. Components Of An Optional Binding Mandatory Curtailment Plan:

i. Name of lead customer including SDG&E account number, electric rate schedule, service address, mailing address, and contact information including pager and facsimile numbers.
ii. List of all non-lead customers including SDG&E account number, service address, mailing address, and contact information.
iii. The lead customer shall be the primary contact for the OBMC Plan. The lead customer shall furnish and maintain an alpha-numeric pager and facsimile machine that will be used for lead customer notification. The primary contact shall be responsible for contacting all non-lead customers.
iv. The Customer Specific Baseline must be established for the SDG&E circuit that provides service to the customer(s). The load measurements for the circuit shall be taken at SDG&E's distribution substation.
v. MLLs shall be established for the circuit which correspond to each of the 5, 10, and 15% load reduction level from the Customer Specific Baseline.
vi. A load reduction plan that shall indicate the specific quantifiable measures to be utilized by the customer(s) to reduce load to or below each MLL. The load reduction plan must include the load reduction measures to be utilized during different time periods of the year to achieve the required load reductions when seasonal load profile changes occur. The customer is responsible for preparing and maintaining the load reduction plan.
vii. Identification of the measuring equipment and means to verify that during the entire duration of the OBMC operation that the load on the circuit or dedicated substation has been reduced to or below the applicable MLL that corresponds to the required percent load reduction. This measuring equipment is further specified in Special Condition 14a below.

c. Term Of Agreement: An OBMC Contract has an initial term of twelve (12) months, but may be extended from year to year, after operational review, with the written approval of SDG&E, according to Special Condition 2f. The annual term shall commence upon the effective start date specified in the SDG&E approval letter.

d. Termination of Agreement: The customer or SDG&E may terminate the OBMC Plan upon thirty (30) days written notice prior to the end of an annual term. If a customer terminates the OBMC Plan, the customer shall not be party to a subsequent OBMC Plan for a period of at least twelve (12) months. Upon termination, regardless of the cause, the circuit will be assigned a Rotating Outage Block (ROB) and the ROB may or may not be the same as when the OBMC Plan was initiated. L

(Continued)

SCHEDULE OBMC

OPTIONAL BINDING MANDATORY CURTAILMENT PLAN

SPECIAL CONDITIONS (Continued)

12. Multiple Program Participation: A customer may participate simultaneously in OBMC and other Demand Response programs as defined in Advice Letter 2128-E – *Establishment of Rule 41*. However, under no circumstances will a customer taking service under the above listed rate schedules and this schedule receive more than one incentive payment for the same interrupted/curtailed load. L D, N

13. Termination of Schedule: This Schedule is in effect until modified or terminated in the rate design phase of SDG&E's next general rate case or similar proceeding. L

14. Metering Requirements.

    a. Measuring Equipment To Verify Compliance: Where the OBMC customer is on a dedicated circuit, compliance shall be determined from a telephone-accessible electric revenue interval meter. Direct Access and Community Choice Aggregation (CCA) customers are required to allow SDG&E telephone access to its electric revenue meter for the purposes of determining OBMC operation compliance. Where the existing meter is non-interval or is not compatible with SDG&E's current telephone-based meter reading systems, the customer is required to pay for the installation of an interval meter as Special Facilities pursuant to Electric Rule 2. Where a meter is not currently being read via telephone, the customer shall coordinate and pay for the installation, and pay all ongoing costs of such necessary telephone equipment and service. The OBMC Plan shall not be approved by SDG&E until such metering has been installed and the data is able to be collected via telephone or until SDG&E is able to access the customer-owned meter. Where the OBMC customer is not on a dedicated circuit or if the OBMC Plan includes a group of customers, compliance for the circuit shall be determined from electronic recording equipment located in the SDG&E substation. Where the circuit does not have electronic recording equipment to monitor its loads, the customer shall pay for the installation of the equipment as Special Facilities pursuant to Electric Rule 2. The OBMC Plan shall not be approved by SDG&E until such electronic recording equipment has been installed and is operational.

15. Utility Testing: Customers are required to participate in no more than two (2) tests per year of the communications and responsiveness of customers to a Optional Binding Mandatory Curtailment Program Request. During such a test the customer shall be responsible to curtail load consistent with the rest of the terms of this Rate Schedule. Test events shall be no longer than 4 hours.

16. Utility Reporting: Utility will provide the Commission with a monthly report on the economics of this Rate Schedule. The monthly report may contain information on individual customer performance. Customers on this tariff must agree to allow the Utility, the California Energy Commission (CEC) or its contracting agent to conduct a site visit for measurement and evaluation, and agree to complete any surveys needed to evaluate the OBMC program. Furthermore, customer shall provide all load data and background information, under appropriate confidentiality protections needed to complete this evaluation. The data will also be made available to academic researchers, under appropriate confidentiality protections, to facilitate the understanding of demand response. L

(Continued)

SCHEDULE OBMC

OPTIONAL BINDING MANDATORY CURTAILMENT PLAN

SPECIAL CONDITIONS (Continued)

17. Failure to Reduce Energy: Failure to meet the load relief criteria established by an OBMC Plan shall result in a non-compliance penalty for the OBMC customer. The non-compliance penalty shall be equal to the average total load on the applicable circuit less the required MLL, times $6.00/kWh, as measured during each half-hour of the RO. Failure to pay these penalties may result in termination of electric service pursuant to Electric Rule 11. L

    If participant fails to reduce circuit load to within 5% of the required amount of the entire duration of the RO on two occasions in any one year, SDG&E shall, without liability, terminate OBMC participation immediately and the customer shall be prohibited from participating in an OBMC program for 5 years. Such termination shall occur if SDG&E determines that the terms and conditions of the OBMC Plan have not been met. L

18. Emergency Generation Limitations: Not withstanding all other applicable SDG&E Rules and Tariffs, Customer may synchronize and operate its own generation in parallel with the electric system for up to 60 cycles to minimize service interruption during the transfer of electric service between the Utility electric system and the Customer's Emergency Generation. Such operation shall only occur during the period starting 15 minutes prior to and ending 15 minutes after a curtailment event defined in this Tariff. Customer must review their interconnection plans with SDG&E prior to operation of their generator in parallel with SDG&E's system. In no event shall the customer operate its own generation in parallel with the Utility electric system during Utility service interruptions.

    Upon termination or expiration of the term of this Tariff or Contract, customer agrees to either (1) dismantle all equipment necessary for customer's own generation to synchronize and operate in parallel with the Utility electric system for the purpose of electric service transfer from the Utility electric system to the customer's own generation, or (2) purchase and install a generator output meter meeting SDG&E's standards and either comply with applicable tariffs or take service under a contract.

19. Dispute Resolution: Any dispute arising from the provision of service under this schedule or other aspects of the Optional Binding Mandatory Curtailment Program will be handled as provided for in the Utility's Rule 10, Disputes.